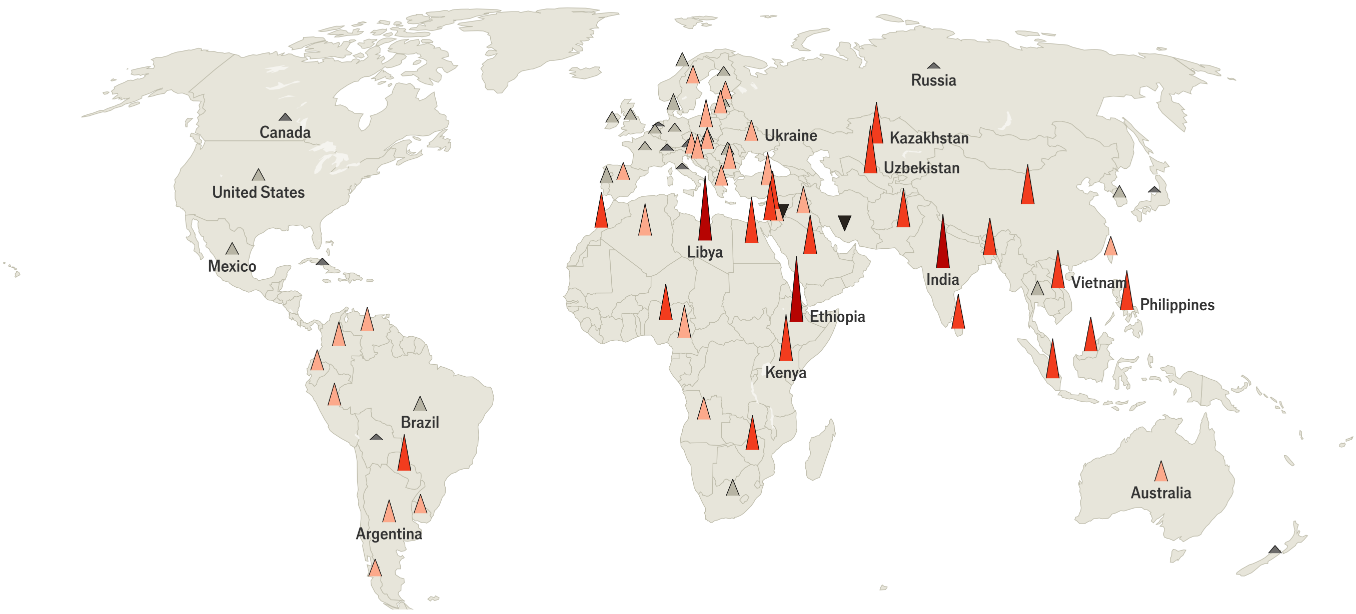
The World Ahead

The World in Numbers

Countries

People to watch in 2026, and forecasts for 81 countries



Austria

GDP growth	0.9%
GDP per person	$69,070 (PPP: $80,070)
Inflation	2.2%
Budget balance	-4.2% of GDP
Population	9.1m

The coalition government under the chancellor, Christian Stocker of the centre-right Austrian People's Party, and his centre-left Social Democratic Party and liberal NEOS partners, faces tensions over the budget and social spending. Strict immigration rules are an area of agreement, but stability is not assured. The economy will grow modestly, American tariffs permitting.

Belgium

GDP growth	1.1%
GDP per person	$65,410 (PPP: $79,760)
Inflation	2.2%
Budget balance	-4.9% of GDP
Population	11.8m

The coalition government installed in February 2025, made up of five parties of both Dutch and French speakers under the nationalist New Flemish Alliance, signals a rightward shift. The coalition will aim to reduce public debt, raise the retirement age and limit jobless benefits. Wage indexation, declining inflation and lower interest rates will support modest economic growth, though global trade turmoil will be a drag.

Croatia

The centre-right Croatian Democratic Union and its coalition partner, the hard-right Homeland Movement, oversee a minority government and struggle with ideological differences. Even so, the coalition should complete its four-year term, maintaining a pro-EU stance. Strong consumer spending, real wage gains, lower interest rates and regional development funds from the EU will support growth. Tourism, accounting for around 25% of GDP and employment, will shine despite capacity and cost pressures.

Denmark

GDP growth	1.9%
GDP per person	$85,210 (PPP: $89,160)
Inflation	1.8%
Budget balance	1.3% of GDP
Population	6m

Mette Frederiksen, the prime minister, and her centre-left Social Democrats will approach elections in October confident of retaining power. Her broad coalition government has been stable despite its narrow parliamentary majority and ideological differences, a pattern that will remain after the election. Pharma exports will help growth, but global tariffs are a risk. Domestic spending will tick up.

Finland

GDP growth	1.1%
GDP per person	$59,920 (PPP: $69,140)
Inflation	1.8%
Budget balance	-3.3% of GDP
Population	5.6m

The centre-right coalition government headed by the prime minister, Petteri Orpo, is divided over policy priorities, especially immigration, the EU and climate, but should survive, supported by strong institutions. Economic growth

TO WATCH Northern exposure. Ovla, a Sami opera, will have its world premiere in January, part of the northern city of Oulu's offering as European Capital of Culture.

Germany

GDP growth	1%
GDP per person	$65,260 (PPP: $79,080)
Inflation	2.2%
Budget balance	-3.6% of GDP
Population	83.6m

The broad-based coalition government under the chancellor, Friedrich Merz, is mostly united on fiscal policy but will struggle to agree elsewhere. Surging support for the hard-right Alternative for Germany party will test political co-operation, as will American tariffs. A relaxation of rules on government debt, adopted in 2025, will increase investment in infrastructure and defence, offsetting some trade uncertainty.

Hungary

GDP growth	2.5%
GDP per person	$29,340 (PPP: $52,390)

right Respect and Freedom Party (TISZA). Despite TISZA's polling lead, Fidesz's media control and pre-election spending should secure a narrow win, though voter fatigue and economic woes could tip the scales. The economy will rebound, powered by household spending and rising real wages.

TO WATCH Funding gap. The withholding of economic "cohesion" funds by the EU until Hungary restores the rule of law will constrain growth.

Italy

GDP growth	0.7%
GDP per person	$45,570 (PPP: $65,910)
Inflation	1.5%
Budget balance	-3.1% of GDP
Population	58.9m

The right-wing Brothers of Italy government led by Giorgia Meloni, the prime minister, is buoyed by a strong parliamentary majority and a fragmented opposition, minimising the risk of an early election. The economy will be sluggish, with important exports such as machinery, pharmaceuticals and vehicles facing headwinds from American tariffs, which will also chill domestic business investment. Consumer spending, though, will keep the economy ticking over, supported by historically low unemployment, declining inflation and falling interest rates.

Lithuania

GDP growth	2.7%
GDP per person	$38,430 (PPP: $62,980)
Inflation	2%
Budget balance	-2.7% of GDP
Population	2.8m

Inga Ruginiene of the centre-left Social Democratic Party of Lithuania became prime minister in September 2025 after the previous leader, Gintautas Paluckas, stepped down amid probes into his business dealings. The new coalition, like its predecessor, includes the populist Dawn of Nemunas party, a wild card because its policies are unclear and its leader, Remigijus Zemaitaitis, faces legal troubles. A pro-Western, pro-EU stance will prevail regardless. Strong wage growth and more spending on defence will propel the economy.

TO WATCH Track changes. The economy will get a boost from spending on Rail Baltica, a high-speed link through the Baltic states to Poland.

Norway

GDP growth	1.6%
GDP per person	$100,740 (PPP: $110,190)
Inflation	2.4%
Budget balance	8.9% of GDP
Population	5.7m

The centre-left Labour Party came first in elections in September 2025, presaging another coalition government, although party talks may take months to resolve. The government will aim to strengthen the welfare state, but reliance on centrist or right-wing parties will prevent a shift to a markedly leftist agenda. Lower inflation will boost real incomes, while the central bank trims borrowing rates. Robust consumer spending and strong oil and gas revenues will keep the economy humming.

TO WATCH Cloud base. Governments, tech leaders and investors will gather in Oslo in May for the Data Centre Expo, as Norway establishes its credentials as a sustainable tech hub.

Portugal

GDP growth	1.9%
GDP per person	$35,970 (PPP: $57,430)

populist Chega party, now the largest opposition force. This precarious balance risks derailing a government programme focused on boosting salaries, tackling a housing crisis and lifting economic growth. Strong tourism will support the economy, but EU recovery funds will come to an end.

Russia

GDP growth	0.7%
GDP per person	$17,240 (PPP: $52,200)
Inflation	4.8%
Budget balance	-2.2% of GDP
Population	143.4m

The war against Ukraine may grind to an uneasy, negotiated halt, allowing some recovery in Russia's non-oil exports, but the shift away from a war economy will be slow. Ending bonuses for fighters and their families, and a looser jobs market, will hold down domestic demand, preventing much of a peace dividend. If the war persists, it will be less intense, but with no chance of Russia re-integrating into global trade and financial systems.

TO WATCH Spoilt ballot. Legislative elections in September will deliver the expected result.

Slovenia

GDP growth	2.5%
GDP per person	$39,180 (PPP: $62,350)
Inflation	2%
Budget balance	-2% of GDP
Population	2.1m

The governing Freedom Movement and its left-wing coalition enjoys solid parliamentary support but trails the centre-right Slovenian Democratic Party in polls ahead of elections set for April 2026. New parties are likely to fragment the next parliament and complicate coalition-

GDP per person	$67,310 (PPP: $76,900)
Inflation	1.8%
Budget balance	-1.1% of GDP
Population	10.7m

Ulf Kristersson, the prime minister, and his centre-right minority coalition government will survive until the September election, supported in parliament by the hard-right Sweden Democrats. The main opposition, the centre-left Social Democrats, are best placed to form the next government, heralding higher welfare spending and some easing in immigration policy. Rising consumer spending and business investment, plus lower inflation, will boost the economy despite high unemployment and household debt.

Turkey

GDP growth	3.8%
GDP per person	$18,400 (PPP: $51,190)
Inflation	23%
Budget balance	-3% of GDP
Population	87.9m

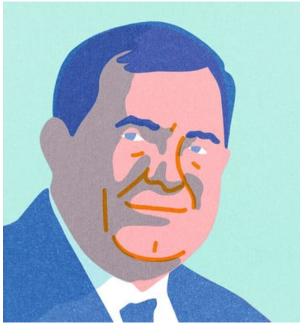
The president, Recep Tayyip Erdogan, will further tighten his grip on power after the arrest of Istanbul's popular mayor in 2025 triggered protests. Backed by a solid parliamentary majority, Mr Erdogan will do as he wishes. Falling inflation will allow more government spending and lower interest rates, supporting growth, though high unemployment and falling real wages will hold back consumer spending.

TO WATCH Oil drill. The annual Kirkpinar Oil Wrestling Festival will take place in Edirne in July, featuring leather-clad pugilists doused in olive oil.

United Kingdom

GDP growth	1.3%
GDP per person	$62,470 (PPP: $67,130)

UK, which poses a threat to the traditional two-party system. Labour's reform and investment programmes will yield benefits only later in the decade, while tax rises and a tight budget will dampen sentiment among businesses and consumers. The economy will languish, but inflation will fall.



2026 IN PERSON

Milorad Dodik

During three decades in politics Milorad Dodik has morphed from a liberal anti-nationalist and darling of Western powers to a committed supporter of independence for Republika Srbska, the Serb- majority entity within Bosnia and Herzegovina (BiH) established after the 1995 war. Having served as the semi-autonomous territory's prime minister twice between 1998 and 2010 and its president twice between 2010 and 2025, he is now a free-floating political agitator. He is an ally to both Serbia and Russia and a thorn in the side of the BiH government and its Western guarantors. The underlying ethnic and sectarian divisions that have long destabilised the Balkans will smoulder in 2026. Mr Dodik could set them aflame once again.

Bulgaria

GDP growth	2.9%
GDP per person	$19,920 (PPP: $44,660)
Inflation	2.3%
Budget balance	-2.8% of GDP
Population	6.7m

Adopting the euro in January 2026, one year after Bulgaria

Zhelyazkov, faces internal splits and will not last until its term ends in 2028.

TO WATCH Petal power. The June Rose Festival will celebrate production of rose oil, of which Bulgaria provides 70% of the world's supply.

Czech Republic

GDP growth	2%
GDP per person	$40,860 (PPP: $65,680)
Inflation	2.8%
Budget balance	-2.5% of GDP
Population	10.5m

The populist ANO party under Andrej Babis, a once and likely future prime minister, came first in the parliamentary election in October 2025 and quickly secured the support of two hard-right parties to form a majority. Strong demand from consumers and recovering investment, supported by EU funding and lower interest rates, will drive a modest rally in the economy, though trade tensions, partly reflecting American tariffs, will hobble export growth.

TO WATCH Bullet points. Increased defence spending in line with NATO commitments will widen the fiscal deficit.

Estonia

GDP growth	2.1%
GDP per person	$38,780 (PPP: $56,550)
Inflation	2.8%
Budget balance	-3% of GDP
Population	1.3m

The governing coalition, comprising the Reform Party and Estonia 200, will operate with a reduced parliamentary majority after the expulsion in 2025 of the Social Democratic Party, but should make it to elections in 2027. Estonia's strong pro-Ukraine stance will keep relations with Russia

France

GDP growth	1%
GDP per person	$53,940 (PPP: $68,370)
Inflation	1.6%
Budget balance	-5.2% of GDP
Population	66.7m

The country is facing political turmoil, having had five prime ministers in two years. The latest, Sébastien Lecornu, resigned in October and was promptly reappointed. The problem is that parliament is split into three hostile blocs, none of which is willing to compromise. Any government will face the same difficulties passing laws. Tackling the budget deficit, which may involve freezing the indexation of pension and welfare payments and cutting spending on health, will face fierce opposition. The economy will edge higher, but austerity will weigh on spending.

TO WATCH So nice. The Nice Carnival in February will salute the great heroines of fiction and history.

Greece

GDP growth	2.4%
GDP per person	$31,380 (PPP: $51,930)
Inflation	2.4%
Budget balance	-0.1% of GDP
Population	9.9m

Facing no credible challenge from the opposition, the centre-right New Democracy government under the prime minister, Kyriakos Mitsotakis, will press on with reforms aimed at modernising and diversifying the economy. Still recovering from the turmoil that followed the global financial crisis of 2007-09, the economy will perform above the EU average, supported by strong business spending and

Ireland

GDP growth	1.3%
GDP per person	$142,650 (PPP: $169,970)
Inflation	1.9%
Budget balance	1.4% of GDP
Population	5.4m

The coalition government led by the taoiseach, Micheál Martin of Fianna Fáil, with support from Fine Gael and independents, is ideologically divided but should survive, using budget surpluses to pursue tax cuts, home-purchase subsidies and more housing. Economic growth will moderate but remain relatively strong, though American tariffs loom over export-heavy industries like pharmaceuticals, and volatile (and mobile) tax revenue from big global companies remains a vulnerability.

TO WATCH Who's there? The Knock Shrine will celebrate the 50th anniversary of the completion of the Basilica of Our Lady, Queen of Ireland, a strong draw for Catholic pilgrims.

Latvia

GDP growth	1.4%
GDP per person	$27,150 (PPP: $48,270)
Inflation	2.5%
Budget balance	-2.9% of GDP
Population	1.8m

Evika Silina, the prime minister, and her New Unity party lead a fragile three-party coalition with the Union of Greens and Farmers and the Progressives, holding a bare majority in the 100-seat parliament. The coalition will be ousted in elections set for October, though the vote could come earlier if the government collapses. Whatever happens, a pro-EU and pro-NATO consensus will survive. The economy will be hurt by American tariffs, curbing precision-equipment and chemicals exports. But trade diversification, defence spending and EU-funded investments will support a modest

Inflation	2.8%
Budget balance	-2.9% of GDP
Population	18.4m

The centre-left Democrats 66 (D66) party was poised to form the next government after the hard-right Party for Freedom lost ground in elections in late 2025. Still, D66 will need the support of other parties to form a coalition government, and negotiations could stretch into 2026. The export-driven economy will be slowed by American tariffs and cuts to investment, but will benefit from fiscal stimulus.

TO WATCH Gas giant. The first phase of a national hydrogen pipeline network will start operating in Rotterdam.

Poland

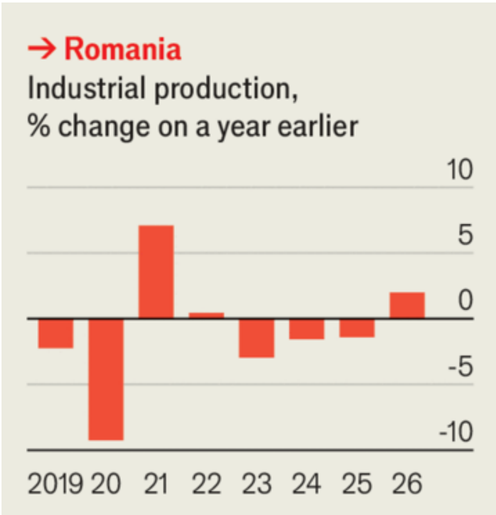
GDP growth	3.2%
GDP per person	$29,160 (PPP: $55,560)
Inflation	2.9%
Budget balance	-6.4% of GDP
Population	37.8m

EU relations and funding flows are back on track after the return to government of the centrist Civic Coalition, led by the two-time prime minister, Donald Tusk. He will push ahead with pro-business, socially liberal policies, although the opposition-aligned president will throw up obstacles. Defence ties with Western allies will deepen. Economic growth will outpace the EU average, with investment and fiscal easing offsetting uncertain export prospects.

Romania

GDP growth	1.5%
GDP per person	$25,190 (PPP: $54,290)
Inflation	5.9%
Budget balance	-6.2% of GDP
Population	18.8m

Unity in the four-party coalition government led by the prime minister, Ilie Bolojan, is threatened by disagreement over austerity measures needed to rein in a budget deficit far above the EU's 3% of GDP limit. The hard right, meanwhile, is gaining momentum among disillusioned voters. Tight public spending, soft domestic demand and poor absorption of EU funds will weigh on economic growth, though industrial production will rebound.



Slovakia

GDP growth	1.6%
GDP per person	$31,930 (PPP: $51,180)
Inflation	2.8%
Budget balance	-4.5% of GDP
Population	5.5m

The populist-nationalist Smer-SD government, which leads a

Spain

GDP growth	2%
GDP per person	$42,220 (PPP: $65,280)
Inflation	2%
Budget balance	-2.6% of GDP
Population	47.9m

The left-wing minority coalition government of the prime minister, Pedro Sánchez, will deliver above-EU-average growth, reflecting solid domestic demand, strong tourism, wage increases and EU-funded investment, especially in digital and green infrastructure. Still, risks to export growth will persist. Corruption scandals have weakened the government, but it will limp on through the year, until elections in 2027.

TO WATCH New Formula. In September Madrid will host a Formula 1 motor race for the first time, on a new circuit combining city streets and dedicated track.

Switzerland

GDP growth	0.8%
GDP per person	$120,010 (PPP: $102,790)
Inflation	0.6%

Inflation will stay low, perhaps prompting a return to negative interest rates. Economic policy will focus on tightening regulation of too-big-to-fail banks and winning parliamentary approval for a new agreement with the EU covering trade, energy and food safety.

Ukraine

GDP growth	2.4%
GDP per person	$5,630 (PPP: $18,430)
Inflation	7.5%
Budget balance	-18.7% of GDP
Population	39.5m

If no peace deal is forthcoming in the war with Russia, the current front line is likely to become frozen in place as both sides dig in. If an agreement emerges, it will probably involve the concession of territory and limited security guarantees from Ukraine's Western allies. The president, Volodymyr Zelensky, may choose to seek popular endorsement for a deal via a referendum. The economy will post modest growth as fighting slows, supported by spending on reconstruction.

Australia

GDP growth	2.4%
GDP per person	$71,270 (PPP: $80,120)

parties will co-operate on workplace relations and cost-of-living measures, but housing policy could prove contentious.

TO WATCH Easier credit. Lower interest rates should help revive domestic demand after a period of depressed consumer spending and business investment.

Bangladesh

GDP growth	4.3%
GDP per person	$2,720 (PPP: $10,820)
Inflation	6.9%
Budget balance	-3.8% of GDP
Population	177.8m

Elections are planned for February, with the Bangladesh Nationalist Party expected to win. Since the collapse of the previous government amid student protests in 2024, the technocratic interim administration led by Muhammad Yunus, a Nobel peace-prize laureate, has worked to rebuild institutions, which will influence the pace of IMF loan disbursements. Cost-of-living pressures will make austerity measures unpopular.

Hong Kong

GDP growth	1.9%
GDP per person	$60,040 (PPP: $85,210)
Inflation	2.1%
Budget balance	-3.7% of GDP
Population	7.4m

Economic and political prospects will be shaped by the rivalry between China and America, with global trade restrictions, technology controls and investment screening constraining the territory's role as an international trade and finance hub. Even so, the economy will rally later in 2026 as local financial services attract more mainland Chinese firms

Indonesia

GDP growth	4.6%
GDP per person	$5,340 (PPP: $18,890)
Inflation	2.7%
Budget balance	-3.2% of GDP
Population	287.9m

The government of the president, Prabowo Subianto, will focus on food security, trade diversification and attracting foreign investment in heavy industry and infrastructure. Expansion of the cabinet promises greater policy expertise but risks bloated spending and red tape. Flagship initiatives like the free-lunch programme will take priority over ambitious undertakings like the development of Nusantara, Indonesia's new capital. GDP will grow, but by nowhere near Mr Prabowo's target of 8%.

TO WATCH Time-saver. Work will start on the Jakarta-Surabaya high-speed rail link, which will cut travel time from ten hours to less than four.

Kazakhstan

GDP growth	4.8%
GDP per person	$13,620 (PPP: $45,800)
Inflation	11.3%
Budget balance	-2.7% of GDP
Population	21.1m

The authoritarian regime under the president, Kassym-Jomart Tokayev, will stifle dissent, keep tight control of community groups and the media, and marginalise figures from the Nazarbayev era, buying loyalty when necessary. Despite superficial reforms, genuine political liberalisation is unlikely; instead, any signs of industrial strife will be met with sharp repression, especially in the oil-and-gas sector. Growth will moderate in response to faltering private demand.

TO WATCH Digital arena. Astana will host the 2026 Games of the

Inflation	2.2%
Budget balance	-2.5% of GDP
Population	5.3m

The coalition government led by the prime minister, Christopher Luxon, and comprising the centre-right National Party, NZ First and ACT, may fall out over calls to scale back preferences for the Maori people and to reinterpret a treaty that recognised Maori land ownership. This could energise opposition parties, though the coalition should survive. Government infrastructure and relaxed foreign-investment rules will boost the economy, despite weak demand from China.

Philippines

GDP growth	4.6%
GDP per person	$4,750 (PPP: $13,630)
Inflation	2.6%
Budget balance	-6% of GDP
Population	117.7m

Recurring factional feuds will shake the political scene, but allies of the president, Ferdinand "Bongbong" Marcos junior, retained the senate in midterm elections in May 2025, supporting policies such as stabilising prices. The economy will slow after a pre-election stimulus splurge. Inflation and interest rates will be subdued and consumer spending and investment resilient, but waning trade momentum and fading post-election demand will act as headwinds.

TO WATCH American bounty. Deepening economic and military co-operation with America will aggravate tensions with China.

South Korea

GDP growth	1.4%
GDP per person	$38,690 (PPP: $64,490)
Inflation	1.7%

hampered the country. Policy will focus on youth employment, elder care and small- and medium-sized enterprises, but growth will be constrained by American tariffs, weak global demand and competition from China.

TO WATCH Virtually there. Seoul will launch its own government-services and cultural-metaverse platform, pioneering digital urban access.

Taiwan

GDP growth	2.2%
GDP per person	$39,780 (PPP: $92,540)
Inflation	1.7%
Budget balance	0.2% of GDP
Population	23m

Parliamentary gridlock will persist, given divisions between the Democratic Progressive Party of the president, Lai Ching-te, the Kuomintang opposition and the Taiwan People's Party. This will curb plans for more spending on welfare and defence. Tension across the Taiwan Strait will remain high as the threat from China grows. The economy will slow as the front-loading of exports to America fades, but global demand for artificial intelligence will help, given Taiwan's role in technology supply chains.

Uzbekistan

GDP growth	5.5%
GDP per person	$3,760 (PPP: $13,560)
Inflation	7.5%
Budget balance	-2.9% of GDP
Population	37.7m

The political tone will remain firmly authoritarian under the president, Shavkat Mirziyoyev, and his pliant Liberal Democratic Party government. Despite public frustration over corruption and energy shortages, strict government

2026 IN PERSON

To Lam

To Lam, general secretary of the Communist Party of Vietnam since his predecessor died in 2024, is likely to be confirmed in the role at January's party congress. To prepare he has centralised control of government and consolidated his authority and patronage power. He will also press ahead with a highly politicised anti-corruption crackdown. It won't be plain sailing. In recent years Vietnam has inserted itself between Western economies and a Chinese export machine of which they are wary —a strategy threatened by Donald Trump's unpredictable tariffs. Mr Lam, like his father a former head of the national police, will respond by diversifying Vietnam's trade and investment ties, without angering America and China or sacrificing centralised political control.

China

GDP growth	4.6%
GDP per person	$14,690 (PPP: $31,310)
Inflation	0.2%
Budget balance	-5.7% of GDP
Population	1413m

Xi Jinping enjoys unchallenged control, with his allies dominating the Communist Party, armed forces and bureaucracy, ensuring decision-making remains in his hands. But age and health concerns pose risks, while the lack of a clear successor may trigger a power struggle should he fall ill. Under pressure from American containment and less demand for the country's exports, economic growth will slow. The government will push stimulus measures and

India

GDP growth	6.2%
GDP per person	$2,990 (PPP: $13,140)
Inflation	3.8%
Budget balance	-4% of GDP
Population	1476.6m

The reduced parliamentary majority of the coalition government led by the Bharatiya Janata Party will slow progress on business reforms and weigh on investor confidence. The economy, though, will post another year of strong growth, supported by looser money, public investment, resilient services exports and robust rural demand. Foreign direct investment will be buoyed by a large and growing consumer market.

TO WATCH Repairing relations. India will look for ways to soothe Donald Trump's ego and restore fractured economic ties.

Japan

GDP growth	0.7%
GDP per person	$35,670 (PPP: $56,900)
Inflation	1.5%
Budget balance	-3.5% of GDP

policy. Freer spending will boost the economy but also push up debt.

Malaysia

GDP growth	4%
GDP per person	$13,320 (PPP: $43,210)
Inflation	1.6%
Budget balance	-3.9% of GDP
Population	36.4m

The prime minister, Anwar Ibrahim, and his broad coalition government will work to balance pro-Malay and non-Malay interests, limiting the risk of social unrest. Economic growth will slip, constrained by rising global protectionism and weakening export demand, particularly from America. Consumer spending, buoyed by resilient wage growth and rising disposable incomes, will remain the main growth driver.

TO WATCH Value judgment. The New Industrial Master Plan, which aims to advance digitisation, electric-vehicle manufacturing and pharmaceutical production by 2030, will get its midterm review.

Pakistan

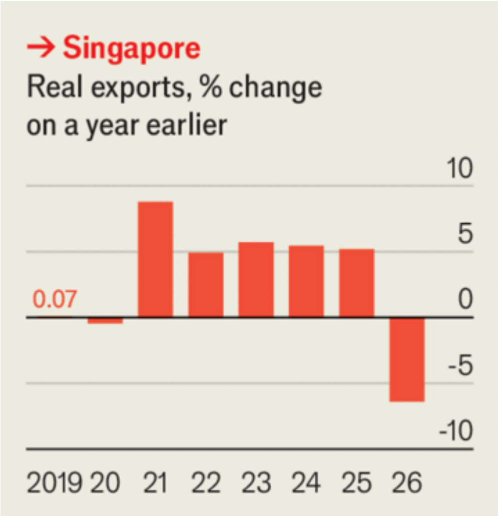
The coalition government led by the Pakistan Muslim League Nawaz and the Pakistan Peoples Party holds a fragile majority and relies on backing from the army, granting it sway over policy. Looser money and improved access to credit will support the economy, but it will be held back by American tariffs and the effects of India's suspension of a water treaty that allocates use of the Indus river between the two countries.

TO WATCH Trust fund. IMF assistance will stave off default, but fiscal strains and sluggish reforms will test the fund's commitment.

Singapore

GDP growth	2.6%
GDP per person	$109,340 (PPP: $167,950)
Inflation	1.1%
Budget balance	0.4% of GDP
Population	5.9m

The long-ruling People's Action Party under the prime minister, Lawrence Wong, will maintain its dominance, though the opposition Workers' Party will build support, particularly among younger, reform-minded voters. Frustration over high living costs, housing affordability and income inequality will require a response. Domestic demand and fiscal support will partly offset a weak trade outlook.



Budget balance	-4% of GDP
Population	23.3m

The ruling National People's Power alliance under the president, Aruna Kumara Dissanayake, wields strong support, though its electoral honeymoon is ending. With the legislature and the executive aligned, it can push ahead on redistributing wealth and boosting salaries. Economic recovery will progress, with rising incomes supporting spending. Moderate interest rates and more tourism will help offset weak exports tied to American tariffs.

Thailand

GDP growth	1.7%
GDP per person	$8,580 (PPP: $27,080)
Inflation	1%
Budget balance	-5.2% of GDP
Population	71.6m

Anutin Charnvirakul, leader of the Bhumjaithai Party, was named prime minister in September 2025 after the constitutional court ousted the previous leader, Paetongtarn Shinawatra, on ethics charges. An election is likely in early 2026, which will produce a new and more reform-friendly government. Despite a peaceful transition of power, tensions will flare between army-aligned conservatives and pro-reform groups. Weaker trade will hold back the economy.

TO WATCH Rave review. Fans of electronic dance music will descend on Wisdom Valley in Pattaya in December for Asia's first version of the giant Tomorrowland festival.

Vietnam

GDP growth	4.4%
GDP per person	$4,980 (PPP: $19,100)
Inflation	3%
Budget balance	-4.1% of GDP

lowering tariffs, especially for American goods. Still, the economy will decelerate after strong growth in 2024 and 2025 as American protectionism and limits on trans-shipments from other countries in Asia weigh on investment, exports and consumption.

North America

Canada

GDP growth	0.9%
GDP per person	$59,240 (PPP: $72,470)
Inflation	2.1%
Budget balance	-1.8% of GDP
Population	40.5m

The prime minister, Mark Carney, leads a minority Liberal Party government, and a revived Conservative Party will offer stiff opposition. Mr Carney's forces will benefit from a surge in nationalist sentiment arising from Donald Trump's hostile attitude towards Canada. Punitive American tariffs will do genuine damage, with further integration among Canada's provinces failing to offset fully the impact of higher import prices on consumers. Growth will be tepid.

United States

GDP growth	1.4%
GDP per person	$92,170 (PPP: $92,170)
Inflation	3.1%
Budget balance	-6.6% of GDP
Population	349m

Donald Trump's norm-shattering behaviour shows no sign of abating. He has cemented power in the presidency, which he will use ruthlessly, notably on trade and immigration. He will remain brutally transactional, unnerving friends and foes. Legal setbacks will slow his pace, but he will win more court cases than he loses. Legislative elections in November

Mexico

GDP growth	1.4%
GDP per person	$13,720 (PPP: $27,520)
Inflation	3.5%
Budget balance	-3.7% of GDP
Population	133m

The renegotiation of the trade agreement between Canada, Mexico and the United States, due for completion by mid-2026, injects uncertainty into economic policy, with the president, Claudia Sheinbaum, already navigating a difficult relationship with the confrontational Trump administration. She may need to adjust spending priorities and run a looser budget, putting fiscal targets at risk. She remains popular despite a controversial overhaul of the judiciary. But foreign investors worry about creeping authoritarianism; economic growth will be below its potential.

TO WATCH Kicking off. On June 11th Mexico City will stage the first match of the FIFA World Cup, which Mexico will host jointly with Canada and America.

Latin America

Argentina

GDP growth	2.6%
GDP per person	$12,780 (PPP: $35,430)
Inflation	18.7%
Budget balance	-0.3% of GDP
Population	46m

The government of Javier Milei, the libertarian president, won a decisive victory in midterm legislative elections in October 2025, easing a period of market stress. Foreign investment will rise, and Mr Milei will press ahead with

Bolivia

GDP growth	0.7%
GDP per person	$3,620 (PPP: $11,100)
Inflation	22%
Budget balance	-8.1% of GDP
Population	12.7m

Rodrigo Paz of the centrist Christian Democratic Party won the presidential election in late 2025, marking the end of nearly 20 years of dominance by the left. With a clear mandate and a legislative tilt towards the centre-right, Mr Paz will be pro-market and support pragmatic investment strategies and smaller deficits, though an overvalued exchange rate will hold back growth.

Chile

GDP growth	2%
GDP per person	$18,650 (PPP: $38,180)
Inflation	2.9%
Budget balance	-1.5% of GDP
Population	19.9m

Public concerns about crime and economic stagnation favoured the right-wing opposition parties in elections set for late 2025. José Antonio Kast of the ultra-conservative Chilean Republican Party was the favourite to win in a run-off. Pre-election turbulence will give way to a more stable economic outlook, with deregulation and investment incentives boosting growth, though schemes to support investment in renewable energy may falter.

TO WATCH Far Reich. The election of Mr Kast, the son of a fleeing German Nazi, would mark a sharp rightward swing at home and boost regional right-wing sentiment.

Cuba

The president, Miguel Díaz-Canel, advocates limited reform, but his political priorities remain firmly authoritarian, with restrictions on private-sector imports and tight state control over most of the economy. Tourism and foreign investment will remain depressed under harsh sanctions and bad relations with the United States, limiting Cuba's recovery. With no prospect of significant reform, the economy will stagnate.

Paraguay

GDP growth	4.2%
GDP per person	$7,490 (PPP: $21,110)
Inflation	3.8%
Budget balance	-1.5% of GDP
Population	7.1m

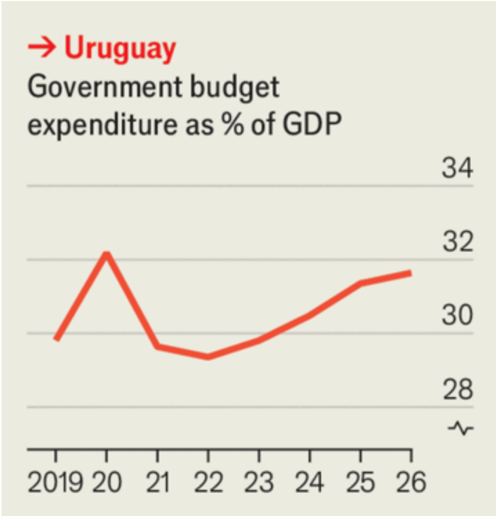
The president, Santiago Peña, and his Colorado Party will pursue market-friendly policies focused on reducing the budget deficit and improving infrastructure, though political tensions may hold things up. Investor confidence and public-private partnerships will sustain large public-works projects and help with regional integration. The economy will do well, but bad weather is always a risk to farming and hydropower output.

TO WATCH Current arrangement. The fee Brazil pays for Paraguay's surplus electricity output from the Itaipu dam will fall by almost 50%.

Uruguay

GDP growth	2.2%
GDP per person	$26,270 (PPP: $40,470)
Inflation	4.2%
Budget balance	-4.1% of GDP
Population	3.4m

Yamandú Orsi's left-wing Broad Front will seek to expand



2026 IN PERSON

Mohamed Irfaan Ali

While some might struggle to place Guyana on a map, that may change in 2026 as its second-term president, Mohamed Irfaan Ali, puts a tiny economy on the road to becoming a petro-state. The Britain- sized country is sparsely populated, but has fabulous reserves of oil and gas. Production in 2026, projected to be nearly 1m barrels a day, could equal that of neighbouring Venezuela, which lays claim to a chunk of Guyana and could be source of conflict. "Dutch disease", whose symptoms include the stunting of non-oil industries and over-valuation of the currency, threatens, but Mr Ali, an economist, will instead try to use the oil wealth to fund much-needed development.

Brazil

Campaigning for the October general election will be spiced by Donald Trump's pointed support for Jair Bolsonaro, the former right-wing president, who was convicted in late 2025 of attempting a coup and banned by the courts from running. Mr Trump's meddling could rally support for the incumbent, leftist Luiz Inácio Lula da Silva, who will run again, but might favour a united right-wing challenger, Should one emerge. A centre-right government would aim to reduce government deficits and debt and boost growth prospects.

Colombia

GDP growth	2.8%
GDP per person	$8,790 (PPP: $23,970)
Inflation	3.4%
Budget balance	-6.4% of GDP
Population	53.9m

The run-up to the presidential election in May will feature rumblings of unrest as both sides mobilise their bases, but the left-wing incumbent, Gustavo Petro, who is term-limited, and his party will probably lose to a candidate from the centre-right opposition. More bank lending will support investment, but slower export growth owing to weaker demand in America, along with declining oil production and prices, will temper the economic recovery.

Ecuador

GDP growth	2.4%
GDP per person	$7,310 (PPP: $17,560)
Inflation	1.3%
Budget balance	-0.9% of GDP
Population	18.4m

Daniel Noboa's decisive re-election as president in 2025 and the strengthening of his National Democratic Action bloc in the legislature will ensure steady policy during his term,

Peru

GDP growth	2.6%
GDP per person	$10,110 (PPP: $19,360)
Inflation	2.8%
Budget balance	-2.8% of GDP
Population	34.9m

Corruption scandals and rising crime have made Dina Boluarte deeply unpopular, and she cannot run again for president in April's election. Her successor, to be picked from a broad field of hopefuls, will face similar problems, including a fragmented legislature and little public trust. Candidates on the right are favourites, but populism may stifle reforms. Softer growth in mining and farm output and uncertainty over global trade will hold back the economy.

Venezuela

GDP growth	2.8%
GDP per person	$3,870 (PPP: $8,540)
Inflation	130.7%
Budget balance	-3.6% of GDP
Population	28.6m

Nicolás Maduro, the authoritarian left-wing president, will remain in control of a country in sustained decline, although the presence of the American navy near Venezuelan waters—ostensibly for anti-drug patrols—means a toppling of his regime cannot be ruled out. The return of Chevron, a big energy company, will support oil production and boost the economy.

Middle East and Africa

Algeria

GDP growth	3.7%

long-ruling National Liberation Front will win elections to the rubber-stamp legislature in June. Oil and gas output will expand modestly, but a weak investment climate will deter private capital. Strong public spending will boost the economy.

Angola

GDP growth	2.6%
GDP per person	$3,270 (PPP: $8,780)
Inflation	16.3%
Budget balance	-3.2% of GDP
Population	40.2m

Violent protests sparked by fuel-subsidy cuts and declining economic opportunities will meet equally violent crackdowns from the government and security forces of the president, João Lourenço. The ruling People's Movement for the Liberation of Angola, in power since 1975, is unpopular, and repression is likely to increase ahead of elections in 2027. Oil exports will deliver some growth.

Egypt

GDP growth	5.3%
GDP per person	$2,830 (PPP: $21,630)
Inflation	10.8%
Budget balance	-7.5% of GDP
Population	120.1m

The president, Abdel Fattah el-Sisi, will retain near-absolute control during his final term, but will nevertheless tread a narrow line between reforms, including fiscal austerity and privatisation, and popular discontent. Public unease over the situation in Gaza, as well as regional geopolitical tensions, should ease if the ceasefire in Gaza holds. The economy will pick up pace, supported by improved business confidence, declining inflation and a more flexible currency.

GDP per person	$3,810 (PPP: $20,360)
Inflation	45%
Budget balance	-3.9% of GDP
Population	93.2m

Hardliners at the helm of big institutions will resist nuclear concessions after resounding defeat in the brief conflict with Israel in 2025, but attention will focus on picking a successor to Ayatollah Ali Khamenei, the fragile, 86-year-old supreme leader. Chances for sanctions relief are slim, and the economy will contract for a second straight year as oil output eases.

TO WATCH Supreme confidence. Ayatollah Khamenei's son, Mojtaba, is a possible successor for the top job, should it become vacant.

Israel

GDP growth	4.5%
GDP per person	$70,610 (PPP: $66,710)
Inflation	2.2%
Budget balance	-4.2% of GDP
Population	9.6m

The ceasefire in Gaza, if it holds, will be a relief to Palestinians and to an Israeli public weary of wars. The coalition led by the prime minister, Binyamin Netanyahu, is likely to collapse, with an election possible in early 2026; subsequent horse-trading should result in an ideologically diverse centre-right government, but decision-making will be difficult. The de-escalation of external conflicts will buoy consumer sentiment.

Kenya

GDP growth	5.4%
GDP per person	$2,530 (PPP: $7,260)
Inflation	4.8%

economy will enjoy renewed momentum as infrastructure investment, digitisation and regional integration start to deliver.

Libya

GDP growth	7.5%
GDP per person	$6,370 (PPP: $16,720)
Inflation	2.3%
Budget balance	1% of GDP
Population	7.5m

Power will remain contested by the UN-recognised Government of National Unity in the north-west and warlord Khalifa Haftar's Libyan National Army in the east, while long-awaited elections are further delayed. Disputes over oil earnings will persist, but revenue will rise as output slowly climbs, though economic growth will fall short of its 2025 high.

Nigeria

GDP growth	4.2%
GDP per person	$1,360 (PPP: $9,510)
Inflation	14.9%
Budget balance	-4.4% of GDP
Population	242.4m

The country is deeply unstable, owing to weak institutions, ethnic and religious conflicts, and militant violence—particularly from Boko Haram and emerging groups in the north-west and Middle Belt. The president, Bola Tinubu, has rolled out much-needed market reforms, but they have made him unpopular. Falling inflation and rising output from the giant Dangote oil refinery will support growth.

South Africa

The coalition government formed after the African National Congress lost its majority in 2024, which includes the pro-business Democratic Alliance, will shore up investor confidence and make for smoother progress on policy, including tackling power shortages. American tariffs will hurt exports, but retail sales will remain strong.

Zimbabwe

GDP growth	4%
GDP per person	$1,450 (PPP: $4,430)
Inflation	68.5%
Budget balance	-1.1% of GDP
Population	17.3m

The ruling Zimbabwe African National Union-Patriotic Front will maintain a tight grip on power, even though more than a third of the country lives in poverty. The military will step in if public protest gets out of hand. Rising lithium and gold production will sustain economic growth.

2026 IN PERSON

Netumbo Nandi-Ndaitwah

As Namibia's first female president and Africa's second directly elected woman head of state, Netumbo Nandi-Ndaitwah, who took office in March 2025, blends her party's socialist roots with pragmatic, market-friendly policies. Born in 1952 under South African apartheid to an Anglican clergyman, educated in the Soviet Union and Britain, she aims to streamline government and promote youth employment, while tackling post-colonial

Cameroon

GDP growth	3.8%
GDP per person	$2,070 (PPP: $6,060)
Inflation	2.8%
Budget balance	-2.1% of GDP
Population	30.6m

Paul Biya won an eighth term as president in late 2025, but the election was marred by allegations of fraud and violence against protesters. At 92 he may struggle to finish his term, and his exit would spark a succession battle, all amid insurgencies in the English-speaking and far north regions. Iron ore and gas will buoy the economy.

Ethiopia

GDP growth	7.6%
GDP per person	$780 (PPP: $3,830)
Inflation	13%
Budget balance	-3.1% of GDP
Population	138.9m

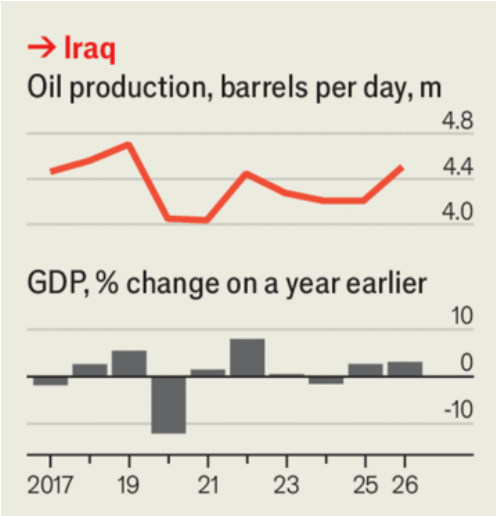
The Prosperity Party government under the prime minister, Abiy Ahmed, will face growing instability as insurgencies in the Amhara and Oromia regions bring long-standing ethnic tensions to the fore. A long-promised referendum on disputed territories may ease tensions, though it is not clear if or when this will happen. Mr Abiy and his party will win the election due in June, though it may be delayed. Despite the conflict, the economy will grow strongly.

TO WATCH Tigray fire. Incomplete implementation of the 2022 Tigray peace treaty could allow simmering tensions in the northern region to boil over.

Iraq

GDP growth	3.1%

parties of the Iran-backed, Shia-dominated Co-ordination Framework coalition. Civil unrest and threats to Iraq's reform agenda, however, remain. Oil output will spike as capacity increases, pushing growth higher.



Jordan

GDP growth	2.5%
GDP per person	$5,030 (PPP: $11,990)
Inflation	2%
Budget balance	-4.7% of GDP
Population	11.6m

King Abdullah bin Hussein al-Hashemi's firm grip on power, backed up by the army, means the main sources of instability will come from beyond the country's borders. Economic growth will be boosted by foreign investment and multilateral grants, and as regional tensions ease. Rising tourism will narrow the current-account deficit, helped by IMF funding.

Lebanon

GDP growth	4.4%
GDP per person	$5,590 (PPP: $13,540)

under the prime minister, Nawaf Salam. Political gridlock is easing, but progress will be piecemeal and the economy will rally only slowly.

Morocco

GDP growth	4.1%
GDP per person	$5,150 (PPP: $12,370)
Inflation	1.9%
Budget balance	-3% of GDP
Population	38.8m

Despite public frustration over unresolved problems such as high unemployment, the government and monarchy face no serious threats, and the ruling coalition will refresh its majority in legislative elections set for September. Strong infrastructure investment and solid tourism will propel the economy.

TO WATCH H2, oh! Work is set to start on the White Dunes project, creating green hydrogen through electrolysis of water.

Saudi Arabia

GDP growth	4.5%
GDP per person	$43,060 (PPP: $83,210)
Inflation	1.9%
Budget balance	-4.1% of GDP
Population	35.2m

Mohammed bin Salman, the crown prince and de facto leader, blends authoritarianism with ambitious economic reforms. Investment in manufacturing, electric-vehicle production, tourism, mining, logistics, renewables and artificial intelligence will help reduce oil dependency and sustain growth.

Syria

A transitional government under the president, Ahmed al-Sharaa, will begin to stabilise the economy, though growth is a year away and a local-currency shortage will cause deflation. Still, surging exports and remittances will help. Sweeping political and economic changes will advance, backed by foreign cash, as Western sanctions ease. Sectarian violence and tensions with Kurdish factions remain threats.

Figures for 2026 and beyond are forecasts. Figures for 2025 are estimates. Dollar GDP calculated using 2026 forecasts for dollar exchange rates (GDP at PPP, or purchasing-power parity, shown in brackets). Most figures simplified by rounding.

Source: Economist Intelligence